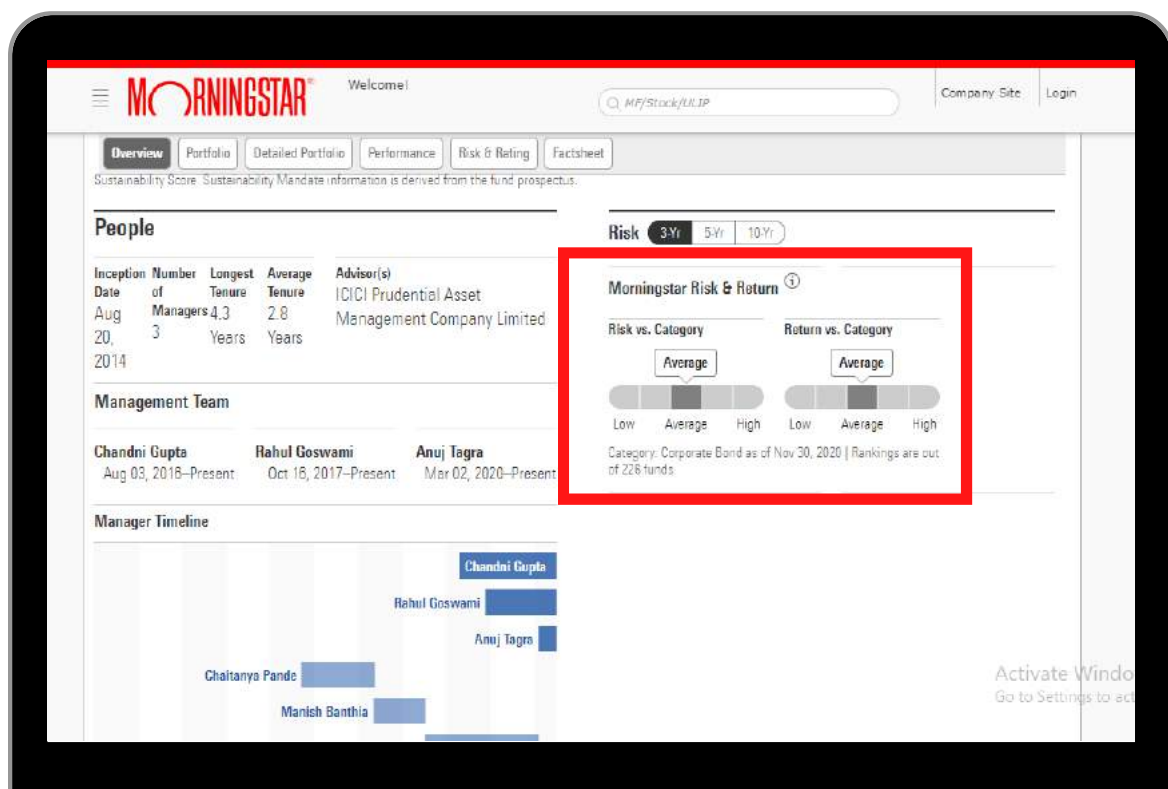


RISK

By risk, Morningstar mainly refers to the standard deviation in the fund returns. Standard deviation is a statistical concept used to evaluate the variability or volatility of a particular element i.e. NAV in this case. Let us understand this with an example. Let us say, two mutual funds, A and B, have NAV of Rs.100 each on 1st January. On 31st December, both have a NAV of Rs.120 each. However, during the year, NAV of A has mainly been in the range of Rs. 90-130. At the same time, NAV of B has been between Rs.60- 150. So, we see that B has been much more volatile as compared to A. Thus, the standard deviation of B will be more than A. We mainly use variability as a measure of risk here. For our purpose, risk should be average or less than the category average. Morningstar shows risk against category for each mutual fund offering.



SOURCE: Morningstar.in

% ASSETS IN TOP 10

This shows how concentrated the mutual fund is. Unless it is a sector-specific fund, the percentage (%) of assets in the top 10 should not be more than 60%. The percentage of assets in the top 10 investments is easily available on almost all mutual fund websites. We can find the same on Morningstar Fund details as well for each fund.